

Corley Plumbing

In 2000, Stan and Carol Corley launched a family-owned plumbing business in Newnan, Georgia, specializing in water heaters, garbage disposals, leaks, and other home repairs. Stan did the plumbing jobs, while Carol, his wife, managed the schedules and shared the responsibility for record keeping. The husband-and-wife team didn't hire employees, didn't buy a computer, didn't take credit cards, and never advertised. Corley Plumbing was a family-run business in its truest sense.

Over the years, the business thrived by focusing on residential plumbing services, building a reputation for reliability and integrity. Although they faced competition from a few dozen other local plumbing businesses, Corley Plumbing built a base of hundreds of loyal customers in the city of Newnan and the surrounding suburbs, who recommended Stan based on his excellent work and affordable prices. "He's very meticulous; he's very careful," said the Corleys' grandson, Cody Burgess.

Once Burgess finished school and earned his plumbing license, he joined Corley Plumbing and worked at his grandfather's side, learning every aspect of the business, including responding to calls in the middle of the night and educating himself about changing code requirements, in an effort to continue his grandfather's legacy. "We're literally responsible for the health of the nation—separating clean water and dirty water," Burgess said.

Twenty-five years after the business's founding, Burgess was preparing himself to take over when his grandfather retired. "My hope is to build it to the point where I do have several employees and broaden our span of what we do," he added.

A Changing Industry

In the intervening years, the plumbing industry changed dramatically. Plumbing codes (the government regulations that affect nearly every aspect of how plumbers do their work) had grown increasingly intricate.

Recent changes included mandates to protect groundwater, reduce energy consumption, and increase safety. While Burgess agreed with the safety benefits—like requiring water heaters to have thermal expansion tanks to prevent explosions¹—the compliance process required more expensive materials and made it harder to ensure customer satisfaction with some aspects of their plumbing, such as water pressure.

Material costs skyrocketed, with 10-foot copper pipes that once cost \$10 now priced closer to \$50.² The price increases affected all materials, including water heaters. Water heaters are essential household appliances, providing hot water for showering, washing dishes, cleaning

¹ In 2006, the International Residential Code began requiring thermal expansion tanks (a small tank installed on the water heater that absorbs pressure) to prevent explosions caused by the expansion of heated water.

² Copper is generally considered the safest, most reliable, and most heat resistant material for water pipes.

laundry, etc., and installing them had been a reliable revenue generator for Corley Plumbing since Stan and Carol started the business. But this service, which Corley priced at less than \$500 in the 2010s, became far more expensive to provide, and customer prices were upwards of \$2,500 by 2024.

Labor costs in the industry also rose, compounded by a shortage of skilled workers. Plumbing is a physically demanding job, which discourages many from entering the field. It can also be stressful—a plumber’s mistake could lead to flooding or fire, which is why plumbers have some of the most expensive liability insurance of any trade, according to Burgess. But the demand for plumbers continued to rise, especially in areas with new construction.

Another challenge Corley Plumbing faced was seasonal fluctuations. Demand for plumbing work peaked in the spring and during seasonal transitions, when problems like failing water heaters and broken pipes are more frequent. But slower periods, such as the weeks around school openings and closings, forced Burgess to get creative. He offset times of low customer demand by selling unused metal to recycling centers and saving income during busier months.

Despite these hurdles, Burgess saw opportunities in changing customer preferences. Newnan’s demographics had shifted, with younger, more energy-conscious families moving in. These customers valued solutions like tankless water heaters and whole-house filtration systems, in part due to concerns over local water quality. Burgess also noticed a growing interest in smart water systems,³ which aligned with his aspirations to modernize Corley Plumbing’s offerings.



Figure 1. A plumber uses a torch to solder pipes.

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Technology presented both opportunities and challenges to the overall health of the Corleys’ plumbing business. Tools like the ProPress system, which uses pressure rather than fire to connect pipes, revolutionized their work, offering safer alternatives to soldering (attaching using heat) (Figure 1). However, adopting these technologies required significant upfront spending.

In a further effort to embrace technology, Burgess had been easing the business into the digital age by

introducing social media marketing and accepting credit card payments—a far cry from the word-of-mouth and cash-only model that the business was built upon. As he did so, the balance between old-school reliability and modern convenience remained delicate. Many of the

³ Smart water systems monitor water usage and leaks to prevent water damage and reduce consumption.

Topic 1.3 Case

company's most loyal customers still preferred a handshake and cash to an emailed invoice and a credit-card payment link.

As Burgess considers the future, he faces a critical decision. Should Corley Plumbing expand its service area and offerings to attract a more tech-savvy clientele? Or should it focus on maintaining its current operations, prioritizing reliability and gradual adaptation? With the labor shortage there's plenty of work to go around, but scaling up without sacrificing quality will be difficult.

Cody Burgess was interviewed in 2024 by a College Board case author for this case study.

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